www.getwsodo.com

The Kennedy Magnetic Marketing
Special Report

SPECIALIZED
MAGNETIC MARKETING
INFORMATION

How To Turn Mailing Lists Into Money

www.getwsodo.com

A recent study (by Pitney-Bowes) revealed that 60% of small business owners do not use direct-mail; but, of the 40% who do, 90% say it is the most productive means of marketing they employ. This shows you how using direct-mail effectively gives you an instant, significant advantage over all your competitors.

The much-maligned USPS, deserving of much of its criticism, is still a bargain as a marketing-force.

LISTS are an integral part of direct-mail use. In fact, even pro copywriters like myself will admit the list accounts for more than half the success (or failure) of each campaign or project. This means that list selection is one of the most important things you can do. It deserves whatever time and attention is needed to get the job done right.

Most people fail at list selection and acquisition simply because they do not understand the basics and do not do their homework. This Report provides a crash-course in the vocabulary of the list business and the process of renting and using lists.

MAILING LIST BASICS

The Mailing List is the most important part of a direct-mail program. Basically, there are three ways to get a list:

1) - Your own customer and prospect lists. Yes, you SHOULD compile a mailing list of your own customers. The small business owner with a list of all his past and active customers has a very important, valuable asset.

2) - Build a list through lead generation advertising. For example, let's say you own a pet store. You might run a classified ad, continually, in certain sections of your newspaper that reads something like this:

```
BEFORE YOU BUY A PET, GET THE FREE REPORT:
"21 MONEYSAVING TIPS FOR NEW PET OWNERS"
CALL 000-0000 OR WRITE: BOX 2, XYZ CITY, 00000
```

Everyone who responds goes on a mailing list of key, qualified prospects for your pet store.

3) - Rent a commercially available list or lists. This Supplement discusses the basics of renting lists.

First, understand you will be RENTING these lists for one-time use. The list owners will often want to see and approve the material you will be mailing. And the lists will be "seeded" with false names and addresses that deliver your mail to the list owners, so they can police the use of their lists.

Second, you'll probably wind up working with a List Broker, hopefully

www.getwsodo.com

located in your own city, but not necessarily. A good List Broker can be of great help to you and is paid by the list owners, not by you. You'll find the List Brokers in your own area in your Yellow Pages, under MAILING LISTS and LIST BROKERS or similar categories.

Brokers are, unfortunately, reluctant to work with very small mailers, so you may have to talk with a number of them before finding one you can work with.

You can also deal with Brokers or List Managers/Owners anywhere in the country, by phone and FAX. You are NOT limited to Brokers who reside in your town.

Third, you will need to educate yourself about available lists, in order to clarify your ideas about what you want BEFORE meeting with or talking with List Brokers. You can start at your nearest major city, main public library, where you'll find a current or one year old copy of a huge directory called "SRDS", for 'Standard Rate And Data Service.' While at the library, you should also read some back issues of trade magazines like Direct Marketing, DM News, Target and Zip. In a couple hours, you can become conversant in the terminology, the language of the list business, so you can ask smart questions and deal with List Brokers.

If you are a real "novice" in this area, I suggest getting a copy of the book: A SMALL BUSINESS GUIDE TO DIRECT MAIL by Lin Grensing, published by Self-Counsel Press, available in bookstores.

CONSIDERATIONS IN CHOOSING AND USING LISTS

Compiled Vs. Respondent

A Compiled List is, for example, New Residents, or Auto License Registrants, or Yellow Pages Advertisers. A plethora of these types of lists, all compiled from public information, is available. We sometimes use Yellow Pages Advertisers lists, for example, in marketing our products and seminars.

Usually, Respondent Lists are more valuable. These types of lists include subscribers, customers, buyers or inquirers. For example, if you have a computer supply store, you might be able to use lists of subscribers to computer-related magazines, people who've bought computers by mail from a catalog company, or people who've responded to Apple's advertsing, to get a free video tape about computers.

Choose Prospects That Match Your Customers

Generally speaking, if you can define who you want to reach, by their age, sex, income, magazines they read, credit cards they carry, other products they've bought, etc., you can get lists of people that match that description. (These characteristics are called "Demographics." You may have heard me refer to "Geo-Demographic Selection" during my seminar. That means a geographic area, by city, state, zip code, matched with certain demographic criteria.)

www.getwsodo.com

Deliverability

No list will be 100% deliverable. You should ask how often the list is "cleaned" and updated. You may want names of certain recency -- magazines often offer "hotline names" of very recent subscribers, for example. Sometimes you can get a deliverability guarantee - ask.

Selections

Each list will have different "options" - you may be able to order only homeowners and exclude renters or vice versa, only men or women, only those of a certain age, etc. The information in SRDS will show you what "selects" are offered with each list.

There is also "merge/purge" possible with many lists. For example, the HOME REMODELING MAGAZINE subscribers from your state could be "merge/purged" against a list of credit cardholders. An interior decorator might want only those subscribers WITH credit cards. A furniture store owner offering his own financing, even for people with credit problems, might want only those subscribers WITHOUT credit cards.

Minimums

Most lists have 3,000 to 5,000 minimum orders. You can whine and cry and try and negotiate a smaller test, but more often than not, you'll have to rent 3,000 to 5,000 names from a given list. Of course, that doesn't mean you have to mail them all. In fact, for local, small business purposes, a test of 500 names usually tells a lot.

Do Not Be Intimidated

DO take a little time "out of the shop" to learn about mailing lists. DO get into SRDS and open your eyes to all the possibilities and opportunities -- I promise you'll be amazed, fascinated and, undoubtedly, stimulated with new ideas for promoting your business. CONTACT both local and out-of-town Brokers, explain your objectives, discuss the characteristics of the people you want to reach, discuss lists you've identified that might work, ask for and consider their suggestions. DO NOT hesitate to ask "dumb questions" -- there really are no dumb questions except the unasked ones. There's no reason to be intimidated by this process.

Why Not Direct All Your Resources At "Grade A" Prospects?

If I can motivate you to make this philosophical and practical shift; to choose to direct your resources at Grade-A prospects, I will have done you a great service!

VOCABULARY OF MAILING LISTS

Cold List	Not previously tested or used; the people on the list will be receiving your mail unsolicited; presumably they do not know you.

www.getwsodo.com

Compiled List	Lists with geographic/demographic commonalities, usually compiled from public records.
Demographics	Socio-economic characteristics i.e. age, sex, income, ownership of property.
House Lists	Your own internal lists, such as your Customers, or Inquiries, or your own compiled prospects.
Inquiries	People who've responded to advertising, requested information, but have not made a purchase ("converted").
Buyer/Subscriber	Those who've made a purchase.
Expires	Subscribers who have not renewed.
Recency	How recently the buyer/inquiry is. Many lists offer a "hotline" select, of the most recent 90 days' actives.
List Broker	Middleman between the person renting lists and owners/managers of lists. A list broker works much like a real estate broker, serving two functions and two masters: he "lists" (signs up) lists/list owners he can represent, then he "sells" (rents) those lists to mailers.
List Manager	Computer service bureau that maintains lists.
List Cleaning	Removing or correcting names in a database.
Selects	The choices you can make within a list. You can specify, for example, males only or females only, recent (hotline) buyers, buyers by year, renewed subscribers, etc. Some lists offer dozens of selects.
Testing	Most lists have 5,000 minimums, and for many purposes, a good test will be "5,000 names, Nth-name select" meaning every x-number name; if there are 50,000 names on the list (in the "universe"), a 10th name select would give you every 10th name in the list, covering all geography. A local marketer may rent 5,000 names, but then actually test only 500.
Roll-Out	After a test, you rent and use the entire list.
Merge/Purge	Taking several lists and eliminating the duplicates - or producing only the duplicates. This is easiest to arrange with multiple lists under control of the same manager and/or represented by the same broker.
SRDS	Standard Rate & Data Services, 5201 Old Orchard Road, Skokie, Illinois 60077. Available in most large city main libraries.

www.getwsodo.com

USEFUL CONTACTS*

1. For compiled lists:BEST MAILING LISTS 800-NYC-BEST
   AMERICAN LIST COUNSEL 201/874-4300 or 800/ALC-LIST

2. For all types of lists: ED BURNETT CONSULTANTS 201/871-1100
   ALAN DREY CO. 312/346-7453

3. TRADE PUBLICATIONS (YOU SHOULD READ) Direct Marketing, Target, ZIP, DM News

*Being included on this list does not constitute endorsement by this Report's author or publisher.